



Mortgages

A mortgage is a long-term loan that enables the borrower to purchase property or land. A mortgage is made up of the amount borrowed—the principle—plus the interest charged on the loan.

How it works

The word mortgage is derived from an old French term used by English lawyers in the Middle Ages, literally meaning “death pledge,” because the deal dies when the debt is paid or a payment fails. A mortgage is secured on the borrower’s property, which means that a legal mechanism is put in place that allows the lender to take possession in the event that the borrower defaults on the loan or fails to abide by its terms. This is known as repossession or foreclosure. Most mortgage lenders require borrowers to put down a percentage of the property value as a deposit (or down payment) before they will be given a mortgage, and the bigger the deposit is, the less they will need to borrow.

Mortgage types

Different countries have different types of mortgage, and different rules governing their issue. The amount that can be borrowed will depend on the property, individual circumstances, and prevailing economic conditions, but all loans will eventually need to be repaid with interest. Islamic law prohibits interest being charged on home loans so sharia-compliant mortgages involve a lease agreement, with the property given to the owner as a “gift” at the end of the term.

Fixed rate mortgages

- › This is the most common type of mortgage in the US.
- › First, the bank checks the borrower’s background to ensure they can afford the loan repayments.
- › The borrower then puts down a deposit, and the bank lends them the remainder of the purchase price. For example, if the purchase price of a property is \$300,000, the borrower may put down a 5% deposit (\$15,000) and borrow the remaining

\$285,000 from the bank. This amount is known as the principle, or capital.

- › The bank charges the specified interest rate and the buyer makes monthly payments. The payment includes the principle plus the interest amount.
- › The borrower pays back both the principle and the interest via monthly repayments. When they have repaid the total amount borrowed, plus the interest, they own the property outright.

Adjustable-rate mortgage (ARM)

- › This loan doesn’t have a fixed interest rate. The interest rate and the monthly principal and interest (P&I) remains the same for a set number of years. After that, the rate is adjusted annually.
- › While the rate is difficult to predict in the long-term, ARMs can be appealing because the rate is usually lower than a traditional mortgage.
- › There are different types of ARMs. For instance, a hybrid ARM has an initial fixed rate for a period of time and then the interest rate is

adjusted manually. Another type is the Payment-Option ARM. With this mortgage, you choose among several payment options. Choices with a payment-option ARM include paying only the interest or paying an amount that covers both the principal and the interest.

- › Be aware that some of these loans come with a prepayment penalty. If the house will be sold or refinanced, then this penalty could apply. Be sure to read the contract and ask that the penalty be removed.